

MICRO ECONOMICS AND **MACRO ECONOMICS**

INTERNAL ASSIGNMENT

Question 1:

Introduction:

From the given scenario, In Microeconomics, The law of demand is one of the important concept. The law of demand states relation between price of product and quantity demand. For example, if the price of product increases the quantity demanded will get decreased, same like if the price decrease the quantity demand will increase. But in real world, there are various factors that influence demand, such as customer preference, alternative products, promotional activities, etc. So, for a telecom company who is selling mobile phone across different countries need to understand these factors which will help them to forecast sales accurately and planning pricing, strategies, production, etc.

Law of Demand and Price change:

Pricing always plays a crucial role in customer purchasing decisions. If price of a mobile phone gets reduced, it will attract large customer and eventually increase the demand, like same if the price gets increased, customers will search for alternatives, or drop their purchase plan or postpone their purchase.

For example, A smartphone priced at Rs. 50000 is in sale for Rs. 40000 during a sale time, many people will plan to get their purchase done and may buy it immediately, which will increase demand. similarly, if the prices gets hiked because of higher import cost or shortage of distribution, demand will decline as people start to look alternatives.

By analyzing this price and demand relationship, telecom company can change the price according to the demand and can have estimation on changes in demand and price.

Impact of Promotional Offer:

Promotional offers always encourage the customer to do purchase of products even if the MRP price not reduced. Value for money is key concept customer always sees for Discounts, cashbacks, No-cost EM, additional offers, etc. These factors make the customer feel they are getting value for money.

For example, if a person planning to buy a phone while buying if the brand announce free headphones for limited time. Such offers create and increase short-term demand and help the brand to promote new launch and clearing inventory.

So overall if we see, promotional offers should be considered while forecasting sales as it influence the buying behaviour.

Effect of substitute products:

Substitute products are basically the alternative option which meets the same customer needs. If we see the smartphone brands there are various brands like apple, Samsung, oneplus, google, etc. All these companies have their own features and pricing. Customer always compare different brands, features, pricing before making a purchase decision.

If one brand increases price while competitors have lesser price for the same features customer will opt for that brand, like same if a brand launches new model better than previous demand for existing model declines.

For example, If apple launches better phone with good features and price customer will buy apple instead of its competitor products.

So, always monitoring competitors is advisable and recommended for analyzing demand forecast.

Influence of Customer Expectations:

Customers always have expectations in pricing, launches, technology, etc. if customer expects price to be dropped for the festive sales, they will postpone their plan of purchase till sale day. Customers may wait if they know new version will be launching soon, so they can get new model instead of old model.

If customer knows price will get increased because of inflation, they will make their purchase earlier.

For example, people will wait till new model of iphone get launched so that the current model gets reduced. Therefore, brands must consider customer expectations for better sales.

Customer preferences:

Customer preferences will influence demand. Some customer may prefer premium brand, design, OS, etc. while youngsters may prefer high gaming processors, high camera quality, etc. and business people may prefer higher security, good battery.

Companies need to regularly study the market trends and customer feedback to create changes in their products and introduce new products that fits the customers.

Sales Forecasting:

For better sales, The telecom company should focus on various different factors rather than relying only on sales data. The following should be considered.

- Model based pricing
- Technology and future price based on customer expectation
- Customer preferences across the globe
- Offers and discounts
- Analyzing competitors product and strategies

By focusing on these factors, the telecom company can predict future demand correctly and improve customer satisfaction.

Conclusion:

As a result, The Law of demand tell more about the relation between price and demand. But the real-world market depends on factors like promotional offers, substitute products, customer expectations, customer preferences, etc. Always customer will compare these factors before making a buying decision. Therefore, a telecom company should consider these factors to mark better price, features, quality, inventory, etc which will result in good sales and demand and also help for the growth of the company.

Question 2:

Introduction:

From the given question, The law of supply states all other factors remains same, producers are ready to supply larger number of goods when price increases. But this works only when the producers have the ability to increase the production give products to market.

In given case, the infrastructure like roads, transportation has been damaged by heavy rainfall which results in reduced number of supply of fresh produce despite rising prices.

This particular situation needs to be studied whether the decline represents a **movement along the supply curve** or **shift in the supply curve**.

Movement along the Supply Curve vs Shift in Supply:

A movement along the supply curve means when there is price change happened while other factors remains the same. Like when the price increase, suppliers generally supply more quantity and will eventually result in an upward movement along the same supply curve.

In given case, higher prices did not increase the deliveries. Instead, farmers and suppliers faced damages like damaged road and transportation delays, also the pure nature of crops. These factors declined their ability to supply goods regardless of pricing.

So, this decline in supply should be seen as **leftward shift of the supply curve**.

Reasons for the shift in supply:

There are many reason for this shift, the following are the main reasons

Damage of infrastructure:

From the question we know the heavy rains have damaged the roads and transportation routes, which makes it difficult for suppliers to move from one place to other. Even if price and demand increases the delivery of products physically becomes tough and impossible.

Dependence on Regional Farmers:

Retail unit heavily being dependent on limited suppliers. When those supplier were affected, there were few alternatives available for retailers.

Perishable Nature of Goods:

Fruits, vegetables, dairy products, etc all these products have limited shelf life. Transportation delays will lead to wastage and spoilage of these products as delays in transportation reduces the shelf life of these products and also eventually reduces the quantity reaching the customers

Seasonal Constraints:

Production totally depends on weathers and seasons. Farmers cannot produce in their own wish just because the price is risen. Production requires time.

The senior executives thought when the price is rising it will automatically increase the supply as per law of supply. But this wont work because of the real world constraints.

Like,

- Damaged transportation
- Products is perishable
- No flexibility in increasing productions
- Seasons availability constrains

So, these results in increasing financial spending on customer rather than solving shortage issues

Operations intervention:

The Company should focus on immediate operational improvements. Some of them are:

COLD-CHAIN Logistics:

Investing in cold storage space and refrigerated vehicles to keep the fruits, veggies fresh during transportation, this operation will reduce the chances of spoilage and ensure freshness of product been delivered to outlets

Supplier Diversification:

The company must build contact and relationship with farmers in different states or regions so if any one area gets affected they may have alternatives.

Communication system:

Improving communication between farmers, transport operators, retail owners, warehouse will help them communicate accurately and help to faster the decision making. And also helps to identify delays and problems

Risk management and disaster planning:

The company should focus on building plans and alternatives transport routes and procedures to be followed during natural disaster.

Technology advancement:

Adopting to use demand forecasting software, supply chain software for analytics, GPS, etc. will eventually result in faster planning and communication during disruptions.

The company should be rely or dependent on market price to restore supply, they should focus on investing in

- COLD-CHAIN Logistics to reduce spoilage.

- Good communication and technology adopting
- Risk management planning
- Supplier diversification

These following factors will improve the overall efficiency and protect the business from similar disruptions from future.

Conclusions:

As a result, The decline in the availability is best termed as Shift in the Supply Curve as it is because of damage of roads, transportation failures, freshness of products, seasonal constrains, etc and not because of change in price. Just by increasing the price wont resolve the supply problem. By implementing the operations improvements and some strategic investments like cold-chain storage, supplier diversification, risk management planning, improving the communication, adopting newer technology in efficient way, etc will help to improve market stability, customer satisfaction and also reduces the constrains and give better overall result.

Question 3(A):

Introduction:

In Indian smartphone market companies try to differentiate themselves through the design, pricing, quality, advertising, etc. Several brands like Oppo, Vivo, Redmi, have the same customer base and they compete with each other. The Indian market is a good example of monopolistic competition. In this kind of market, a brand should not only focus on low prices; they have to implement strategies to create a unique identity and value for money product and to retain customers.

Micromax can gain a significant position in the current market by implementing some key strategies based on the competitions. Some of them are

Product Differentiation:

Micromax should focus on presenting their product and offer a better smartphone with features that make them stand out entirely different from other competitors. Differentiation of products is a key strategy to be followed in a monopolistic market.

Some of the features are:

- Advanced camera sensors
- AI features
- Better battery
- No pre-installed apps
- 7 years software update
- Good build quality
- Good processors

Micromax should focus on features, build quality instead of competing on price.

Competitive Pricing Strategy:

The brand can introduce a scheme like

- Festive discounts
- No-cost EMI
- Exchange bonus
- Student offer

Indian customers always expect good features and quality in a reasonable price, so the brand should focus on value-based pricing strategy. It will result in gaining new customers without reducing profits.

Promotions of brand:

Key factor in monopolistic market is marketing of brand. Strong marketing is essential because customer always compare various different brands before buying.

Micromax should increase brand value through:

- Collab with tech influencers
- Creative advertisement
- Social media campaign
- Customer reviews
- Sponsorship

Focus on Innovation:

Customer always expects brands to give latest tech features and better quality. Micromax should focus on improving their product by doing research and development to make their product innovative and to align with current market trends

Some of the innovations are:

- AI- powered editing
- Gaming assistance
- Multiple 5G Bands
- Fast charging
- Free cloud storage

These innovation always helps the brand to be unique and different among competitors

Distribution strengthening:

Micromax should focus on partnering with several e-commerce store and many retail unit so that their product can be available to customer easily, Distribution chain should be managed so it can reduce stock shortages.

Conclusion:

As a result, In Indian market the brands compete with several other brands through differentiation not only price alone. Micromax should focus on product differentiation, pricing strategies, strengthening distribution, bringing innovations, better promotions and analyzing customer feedbacks, etc. These strategies will help them to increase their brand value, regain market share and also increase their sale which will overall help them to compete effectively in monopolistic market.

Question 3(B):

Introduction:

Market structure plays a crucial role in finding how the firms compete, set price and earn profits. The Indian telecom industry has been changed drastically after arrival of new player in the market who provided free voice call, unlimited data, etc. Initially these factors increased the competition but later on over time many small and weak companies were forced to exit or merge with other firms.

As a result, the number of firms in telecom operations got reduced. For better understanding of the current situation, we need to compare the characteristics of oligopoly, monopolistic competition.

Analysis of the market:

So, Basically the Indian telecom market is oligopoly, which means there are only few large firms that rule the market, each firm's decision will influence the other firms, each firm will carefully observe other firms before changing policies, plan and pricing.

At the beginning, the arrival of the disruptive telecom company created massive price competition among other firms through their services like unlimited data, free voice service etc. Customer benefited from lower price, but it made losses and decline in revenue for smaller companies which forced them to exit the market or to be merged with other firms.

The market does not fit with the monopolistic characteristics as in Indian telecom market there are multiple big firms exist and compete for customers by providing value for money services.

Framework for strategic investors:

There are 4 important factors

Entry barriers:

New companies always face many financial challenges due to expensive auctions, high capital and some other challenges like following government regulations, building nationwide infrastructure. These barriers at entry level make it difficult for new companies to enter

Pricing Behaviour:

A firm cannot independently make their own pricing decisions, every change done will be noticed by the competitors and being responded with similar changes in their firm to be competitive

Competitive Interdependence:

All firms in telecom industry closely monitor the strategies of their competitors. Each and every decision related to plans, service, pricing, technology, etc. will influence the actions of other firms in the market.

Market Power:

In telecom industry companies have powerful market share as only few firms has large customer base in the market, however no single firm has overall control over the market.

Based on these factors, Indian telecom industry is to be considered as **oligopolistic market with increasing concentration**. Investors should focus on companies that invest in rising technology like 5G, and advanced technology and having a large customer base.

Conclusion:

As a result, Indian telecom has come from good competition to market dominated by few firms, but the competition still exist among those few large firms through the services, pricing, technologies, innovation, etc. So, the industry is well classified to be oligopoly rather than monopoly. Firms which is ready to invest in evolving technologies, give better support and services can achieve long term success and be successful in the telecom industry